is the inflation-adjusted value of the initial face value since the TIPS was issued. For TIPS, inflation adjustments are realized by having the coupon rate be paid on the value of the accrued principal, not the nominal initial face value.

As well, at the maturity date, the investor receives the accrued principal back, not the nominal face value. A real coupon rate is paid on an inflation-adjusted amount, and an inflation-adjusted amount is returned at the maturity date.

If there is deflation, the accrued principal can decrease, but it is protected from falling below its initial par value. This means that TIPS on the secondary markets with lower accrued principal will be able to provide better protection from a deflationary episode, other factors being the same.

Otherwise, deflation that is not significant enough to cause the accrued principal to fall below its initial par value will hurt TIPS relative to traditional bonds. Generally, the purpose of TIPS is to provide protection from unexpectedly high inflation, and buying TIPS with a lower relative accrued principal is a secondary consideration when choosing specific TIPS to purchase.

It is important to note that TIPS are purchased in nominal dollars. On the secondary market, the ask price for TIPS is quoted in real terms, represented as a percentage of the inflation-adjusted accrued principal. The price paid is the ask price times the accrued principal divided by 100.

TIPS notes and bonds have been issued since January 1997. Until mid-2002, each auction for TIPS of the various maturities provided an initial real yield above 3 percent. Lucky investors in 1998 and 1999 could have purchased thirty-year TIPS yielding close to 4 percent, and yields on ten- and twenty-year TIPS exceeded 4 percent in 1999 and 2000. Since this time, TIPS yields have fallen.

An auction for a five-year note held in October 2010 made headlines as the real yield dipped below zero (to −0.55 percent) for the first time. Purchasers of those issues locked in yields that will not keep pace with inflation.